

Step 1: The Pareto Principle (80/20 Rule) – The Heart of ABC Analysis

This rule was observed by an Italian economist named Vilfredo Pareto over 100 years ago. In simple words:

Roughly 80% of the results come from just 20% of the causes.

Real-life examples everyone can relate to:

- In your wardrobe: You wear only 20% of your clothes 80% of the time. The rest just sits there.
- In a café: 20% of the menu items (maybe coffee and sandwiches) bring in 80% of the total sales money.
- In a company: 20% of customers usually give 80% of the revenue.
- In your phone: 20% of the apps use 80% of your battery or data.

In inventory/supply chain: About 20% of your SKUs usually create 80% of your total sales revenue. The rest (80% of items) create only 20% of the money. This is not always exactly 80/20 – sometimes it's 75/25 or 85/15 – but the idea is the same: a few items are “super important,” most are “not so important.”

This principle helps us stop wasting effort on low-value items

Step 2: What is ABC Analysis?

ABC Analysis uses the Pareto idea to divide all your SKUs into three simple groups:

Category	What it means	% of total items (approx.)	% of total revenue/value (approx.)	How to manage them (real-life control)
A	Very important (“Vital few”)	10–20%	70–80%	Tight control: Accurate forecasts, frequent stock checks, low stock levels, fast reordering, close supplier follow-up. Example: Latest iPhone models in a mobile shop.
B	Moderately important	20–30%	15–20%	Normal control: Standard checks, medium stock. Example: Popular phone chargers.
C	Least important (“Trivial many”)	50–70%	5–10%	Loose control: Bulk ordering, less frequent reviews, higher stock to avoid running out. Example: Cheap screen protectors or cables.

Step 3: How to Do ABC Analysis Using Revenue (The “Do” Part)

You classify SKUs **only using revenue** (annual sales value = quantity sold × selling price).

Here are the exact easy steps (anyone can follow in Excel or Google Sheets):

1. Make a list of every SKU and its **annual revenue**.
2. Sort the list from highest revenue to lowest.
3. Calculate **% of Total Revenue** for each SKU.
4. Calculate **Cumulative %** (running total of the % column).
5. Draw the line:
 - A category → until cumulative % reaches about **80%**
 - B category → next items until cumulative reaches about **95%**
 - C category → everything left (the rest)